

FX Hedging via Forward Contracts

Hedging AUD/CNY exposure and settling a \$40M+ AUD liability, Jesse Brewer

1. The problem

The business operates internationally, paying and receiving in various currencies, yet there was no form of hedging in place until this point. The primary concern was the risk of AUD appreciation against CNY as our primary currency is CNY, but we had ongoing AUD liabilities (approx. 10M AUD/month) as well as an existing \$40M AUD debt to one of our suppliers.

Continuing to exchange CNY to AUD using the spot rate would cause material losses in the event of AUD appreciation. Therefore, I raised this matter to management along with a clear plan of action.

2. Mapping the exposure

Before comparing hedging products, I built a view of the company's position across each account and currency:

- **Balances:** current holdings by account and currency.
- **Cash flows:** average monthly inflows and outflows per currency.
- **Liabilities:** outstanding debts, led by the \$40M+ AUD balance.

This showed how much AUD needed to be bought, over what period, and how much CNY was available to fund it.

Through consultation with FX experts and our own research, we reached a consensus that AUD was likely to continue appreciating at a moderate pace over the following 6-12 months, shaping our decision.

3. Options considered

I sourced quotes from multiple banks for three-month hedging structures and compared them against remaining unhedged. Each scenario below is based on buying AUD 10,000,000 (per quarterly tranche) with CNY.

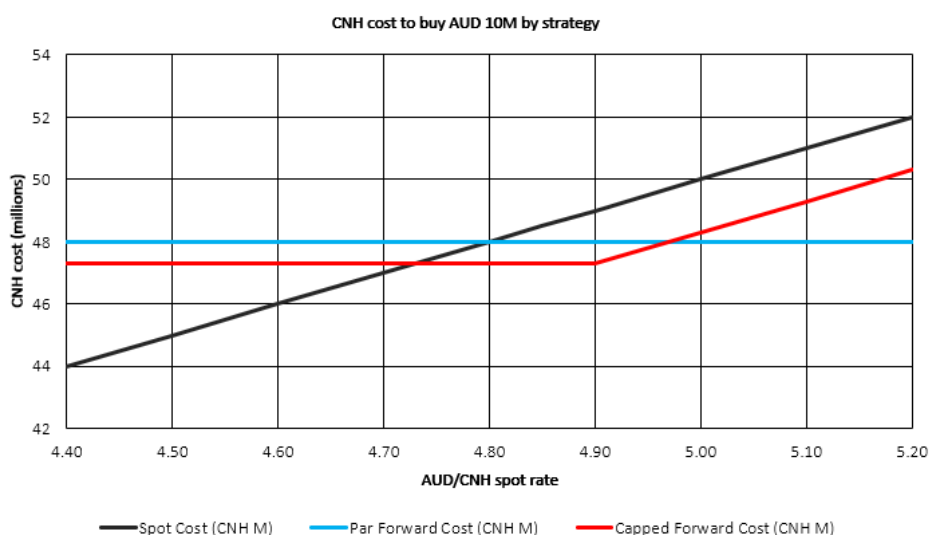
Strategy	Terms quoted	How it works
No hedge	Market spot rate	Buy AUD at whatever the rate is on the day. Full exposure to both favourable and unfavourable moves.
Par Forward	Fixed rate 4.80	Locks in one rate for the full amount. Total cost is fixed at CNY 48.0M regardless of the market.
Capped Forward	Strike 4.73, cap 4.90	Locks a better rate (4.73) while spot stays at or below 4.90. Above the cap, AUD is bought at spot, and the bank pays a fixed rebate of CNY 1.70M instead.

4. Modelling

Sensitivity analysis. I modelled the CNY cost of each strategy across settlement rates from 4.40 to 5.20, then measured each hedge's saving or cost against simply buying at spot.

Spot Rate	Spot Cost (CNY M)	Par Forward vs Spot (CNY M)	Capped Forward vs Spot (CNY M)
4.40	44.00	(4.00)	(3.30)
4.50	45.00	(3.00)	(2.30)
4.60	46.00	(2.00)	(1.30)
4.70	47.00	(1.00)	(0.30)
4.73	47.30	(0.70)	-
4.80	48.00	-	0.70
4.85	48.50	0.50	1.20
4.90	49.00	1.00	1.70
5.00	50.00	2.00	1.70
5.10	51.00	3.00	1.70
5.20	52.00	4.00	1.70

Positive values represent saving versus buying at spot. Figures based on AUD 10M notional.



Key findings.

- Below 4.73: Spot is cheapest, so hedging costs extra.
- 4.73 to 4.97: The capped forward is the cheapest option.
- Above 4.97: The par forward wins, as the capped forward's saving is fixed at CNY 1.70M.

5. Recommendation and decision

My recommendation to management was to enter 3-month capped forwards matching the estimated incoming AUD liabilities (recalculated every 3 months), while capturing the best rate for our risk profile and FX outlook.

6. Outcome

- A structured plan to pay down the \$40M+ AUD debt through the first contracts.
- An ongoing forward contract program to hedge regular AUD needs
- Approximately 650K AUD saved to date (compared to spot conversions)